INDUSTRY WHITE PAPER

Fintech's Next Moat: Building Distribution, Trust, and Customer Access

To What Extent Has Customer Access Become the Central Competitive Battleground in Indian Fintech

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October 2026

Executive Summary

This paper examines why fintech partnerships in India have shifted from being primarily a product story to a distribution story. The central argument is that the main source of competitive advantage is no longer who builds the best financial product, but who holds customer proximity inside the right workflow, at the right moment.

- In FY 2025-26, UPI saw a total of 24,162 crore transactions worth Rs 314 lakh crore. The number of transactions has risen 12,000 times since launch. The size is less important than the mix. A rail at this frequency creates a continuous behavioural log of spending and merchant activity that no loan application can match. This is precisely why it is a distribution asset, rather than merely a payments statistic. [Source: NPCI, PIB April 2026]
- India’s embedded finance market is expected to reach US$24 billion in 2025 and US$34 billion by 2030. This increase is not a result of improved financial products; it illustrates the repositioning of financial products within workflows that lack competition, a structural shift that this paper explores. [Source: ResearchAndMarkets Q4 2025]
- Fintech product features; faster onboarding, lower cost, better UX; are necessary but no longer sufficient. They are increasingly replicable. The harder asset to build is trusted customer access, which today comes primarily through distribution partnerships with banks, NBFCs, digital platforms, employers, and SaaS companies.
- Distribution partnerships reduce customer acquisition cost, shorten sales cycles, improve underwriting through partner data, and anchor financial products inside daily customer habits. But they also create risks: fintechs can become invisible back-end vendors, margins compress under revenue-sharing, and regulatory accountability diffuses across the partnership chain.
- The RBI's Digital Lending Directions (2025) and the SRO-FT framework (2024) are reshaping partner accountability, data governance, and grievance structures, making regulated entity partnerships more important but also more demanding for fintechs.
- The players that capture long-term value will be those who can turn partner reach into proprietary data depth and repeat engagement, not just transaction volume.The difference is clear: BharatPe embedded lending into its merchant payment data loop, adding financial services to 60% of its Rs 1,667 crore FY25 revenue and turning adjusted profitable for the first time. PhonePe, in contrast, with a user base of 535 million, converted less than 0.2% on its Share.market brokerage product, showing the limits of distribution without equivalent data integration and product depth. Volume is made by depthless reach. Value is generated by depth within reach.

  [Source: Inc42, BharatPe FY25 results; PhonePe DRHP 2026]
- For all stakeholders- fintechs, banks, platforms, and regulators; the distribution question is now the central strategic question: not just which products to offer, but where, through whom, and on what terms.

Introduction: Why This Question Matters

India's fintech sector spent the better part of a decade winning on product. The pitch was consistent: faster account opening, lower loan interest rates, paperless insurance, mutual fund investing from Rs 100. Digital onboarding through Aadhaar eKYC, UPI, and mobile-first design let fintechs acquire customers at a fraction of the cost and time that traditional financial institutions required. For several years, this was enough.

It is no longer enough.

The product advantage that fintechs held is narrowing. Banks have upgraded their apps. NBFCs have digitised their lending stacks. Even large insurers are investing in direct digital channels. The structural tailwinds; low baseline digital penetration, an underserved middle class, an early mover advantage in mobile UX; are still real, but they are now shared. A competitive edge built purely on better onboarding or a cleaner interface is not a moat.

Meanwhile, the cost of building a customer base from scratch has climbed sharply. Performance marketing is expensive and less efficient as the Indian digital consumer has more choice and shorter attention spans. The fintech companies that burned capital on customer acquisition through the 2019-2022 cycle have had to reckon with the economics: acquiring a credit or insurance customer through paid channels, then converting and retaining them, often does not close unit economics at realistic repayment rates or policy terms.

The deeper problem is trust. Financial services are high-stakes, and Indian consumers calibrate their trust carefully. A savings account with a neobank backed by a private bank is trusted differently from one at SBI. An insurance policy from a newly licensed digital insurer is evaluated differently from one offered at the point of a known e-commerce checkout.

A savings account at SBI is trusted in a different way than a savings account in a neobank with private backing. Insurance from a new digital insurance company is evaluated differently than insurance at the point of a known e-commerce checkout. Regardless of product quality or founding history, building consumer trust from scratch is structurally expensive, without an institutional anchor. Fi Money is upfront about this: backed by former Google Pay executives, $137 million in funding, and praised for product design, it still couldn’t scale credit adoption among its 3.5 million users. By March 2026 it had completely shut down its consumer banking platform and pivoted to B2B. The product was never the problem. It was not having an established trust relationship with the customer.

[Source: Inc42; ValueForStartups, 2026]

All of this is pushing the competitive logic toward distribution. The relevant question has shifted from 'how do we build a better product?' to 'how do we get in front of the right customer, in a context where they are already making a financial decision, through a channel they already trust?' This is the shift this paper examines.

From Product Advantage to Distribution Advantage

The conventional explanation for early fintech success in India was product. Digital-first companies offered better loan approval times, cheaper insurance quotes, no branch visits, and transparent fees that traditional institutions were not offering. That was true, and it mattered.

But product advantages in financial services erode over time; faster when regulators encourage interoperability, when incumbents access the same technology talent pool, and when APIs allow competitors to assemble financial products quickly from licensed building blocks. What takes a bank two years to build alone can often be deployed in partnership with a fintech in six months.

This reflects a general pattern in technology-enabled services: the first mover who builds a novel product experience eventually faces fast followers. If the product can be copied; and in most fintech categories, it can; the next competitive frontier moves to something harder to replicate.

In financial services, that harder thing is customer access.

The entity that controls this position is the one that can answer:

- Who has an existing, trusted relationship with the customer?
- Who reaches them at the moment they are most likely to make a financial decision?
- Who can embed the financial product inside a daily workflow the customer already uses?
- Who controls the data that makes the product more relevant and the risk more accurately priced?

The answers do not always point to the fintech that built the best product. They point to the entity that owns the customer journey: the employer who pays salaries, the platform where the customer shops, the app checks multiple times daily for payments, the bank where the customer has held an account for ten years. Fintech partnerships work when the fintech brings product depth and the partner brings reach and trust.

The risk is that this arrangement can tip either way. A fintech that becomes purely a back-end provider; invisible to the customer, dependent on a single channel has become a supplier, not a business. A bank or platform that does not develop genuine fintech capabilities can find that the fintech has built the customer relationship while the bank holds only the balance sheet.

What 'Distribution' Means in Fintech

The word 'distribution' is used loosely in financial services. It needs to be defined precisely, because not all distributions are equal. In the context of this paper, distribution in fintech means eight distinct but related things.

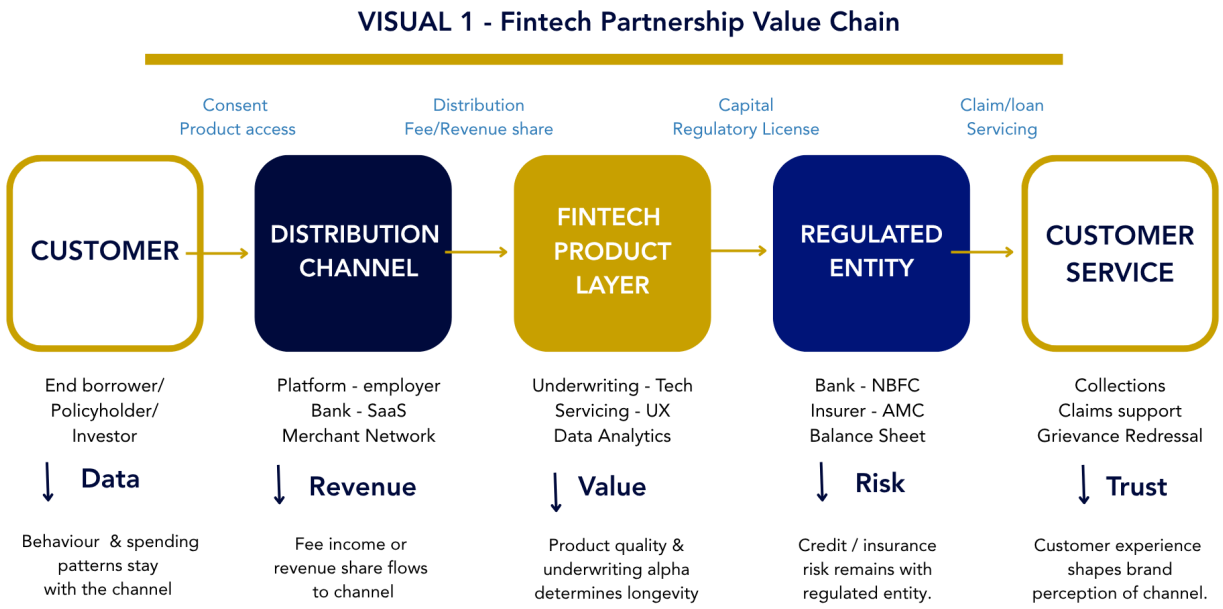


Figure 1: The Fintech Partnership Value Chain — from customer to regulated entity, showing where data, revenue, and accountability accumulate at each node. Source: Author's analysis.

The dimensions here below are selected as they represent the distinct strategic value of partner-led distribution in financial services, benefits that a standalone fintech cannot replicate independently with similar speed or cost. They collectively tackle the sector's core structural issues of trust, timing and information asymmetry and span the route from customer acquisition to enduring commercial value. The framework does not focus on the entire range of benefits that distribution can bring, but rather on the capabilities that are hard to replicate without a strong distribution partner and that can create compounding competitive advantage over time.

Customer Reach

The most direct meaning: how many of the right customers can you reach, at what cost, across what geographies and demographics? A digital platform with 50 million monthly active users offers far more reach than a standalone fintech with five million installs, at a cost per customer that is structurally lower because the customer was already acquired for another purpose.

Trust and Credibility

Customers in India extend trust slowly in financial services. A fintech that arrives inside a channel the customer already trusts a familiar bank app, a widely used commerce platform, an employer benefit inherits some of that trust by association. This borrowed credibility matters more in lending, insurance, and wealth products where fear of fraud or mis-selling is real.

Timing of Product Placement

Finance is most effective when offered at the moment of need. A travel insurance product offered at a flight booking checkout converts far better than one offered by cold email. A working capital loan offered to a merchant who just had a high-volume month arrives at the right moment. Distribution, in this sense, is about placement inside the customer's decision journey, not just presence in the market.

Frequency of Engagement

A customer who opens an app once a year to check a policy is worth far less than one who opens a UPI payment app multiple times a day. High-frequency channels offer more opportunities to place financial products, gather real-time data, and build sustained engagement. This is why payment platforms have been aggressive in adding lending, insurance, and wealth products.

Customer Data

Partner data, transaction history, purchase behaviour, payroll records, merchant cash flows; can materially improve financial products. It enables better underwriting for customers without formal credit histories, more relevant product personalisation, and more accurate fraud detection. Access to this data is itself a form of distribution advantage: it is often exclusive, and it cannot be acquired by a fintech company working in isolation.

But there is a real trade-off. And the same depth of data that enables accurate underwriting also enables targeting of customers at moments of financial vulnerability ; when spending patterns signal distress, or a salary is delayed. In a multi-party partnership the customer rarely knows which entity holds their data, or how it travels through the chain. India’s Account Aggregator framework and the RBI’s Digital Lending Directions (2025) do address this structurally, but their effectiveness depends on a level of financial literacy that cannot yet be assumed uniformly across India’s fintech user base.

Control of the Interface

Whoever owns the screen owns the relationship. The player who controls the customer's primary interface decides what financial products are displayed, in what order, with what context, and with what friction. Interface control is where revenue, data, and long-term customer loyalty accumulate.

Lower Customer Acquisition Cost

Partner-led distribution reduces dependence on paid marketing. When a fintech acquires a customer through a partner channel; a referral, a co-branded product, or an embedded offer. The acquisition cost is shared or reduced compared to direct marketing. Over time, the effective cost per acquired customer can be significantly lower than through direct channels.

Cross-Sell Potential

A customer acquired through a partner channel can become the entry point for a broader financial relationship. A merchant who takes a working capital loan through a payments platform can later be offered insurance, a current account, or a credit line. Partner data and the existing relationship make subsequent product offers more targeted and more likely to convert.

Distribution, understood this way, is not a single thing. It is a set of advantages that, taken together, are harder to build and harder to replicate than almost any individual financial product.

Industry Evidence and Examples

The shift toward distribution-led fintech is visible across every major financial services category in India. The following examples illustrate the logic in practice; not as a list of company facts, but as a set of partnership models with distinct distribution mechanics.

UPI and Payment Partnerships

UPI processed 24,162 crore transactions worth Rs 314 lakh crore in FY 2025-26, making it one of the world's largest real-time payment systems by volume. Person to merchant transactions constitute 63% of the overall UPI volume and 86% of these are less than Rs 500. That composition is the signal. Merchant payments at this frequency sub-Rs 500 generate just the granular continuous transaction history underwriting models need and application forms cannot provide. [Source: NPCI, PIB 2026]

This transaction volume has become a distribution asset. PhonePe, with approximately 45-50% of UPI volume at its peak, has over 535 million registered users and 40 million merchant touchpoints across 99% of India's pin codes. That base has made it the launch point for insurance distribution, mutual fund investment, and secured lending in partnership with Tata Capital, L&T Finance, and Muthoot Fincorp, among others. [Source: PhonePe press release, May 2024]

The distribution logic is explicit: PhonePe's lending partners gain access to a customer base that would take years and considerable capital to reach through direct channels. PhonePe earns distribution income without putting capital at risk.

Neobanks and Bank-Fintech Architecture

Jupiter and Fi Money represent the clearest Indian examples of platform-fintech-bank partnership architecture. Both operate as consumer-facing digital banking experiences on top of Federal Bank's regulated infrastructure. Jupiter provides the technology, user interface, and product design; Federal Bank provides the banking licence, deposit insurance (DICGC, up to Rs 5 lakh), and regulatory standing.

This structure illustrates a core distribution dynamic: Federal Bank, a mid-sized private bank with limited retail brand presence among urban millennials, gains distribution reach it could not have built alone. Jupiter gains a real savings account product it could not have offered without a banking partner. The distribution advantage flows to both; but the customer relationship is contested. The customer sees the Jupiter brand; the banking obligation rests with Federal Bank.

Fi Money's trajectory is instructive as a counterpoint. It spent Rs 132 crore on marketing in FY23 to build user scale, reported over 3 million users at its peak, and eventually pivoted toward a B2B AI model after credit strategy faced regulatory and commercial headwinds. [Source: Inc42, Harro, 2026] The lesson: distribution through paid marketing alone, without a structurally cheaper channel or a recurring engagement loop, does not generate sustainable customer lifetime value in financial services.

Merchant and SME Lending Through Commerce and SaaS Platforms

Khatabook and OkCredit digitised the traditional 'khata' ledger for small merchants, with strong penetration in Tier 2 and Tier 3 cities. Both built their user bases by solving a real operational problem; tracking receivables; for free. Once they had merchant trust and transaction data, they layered financial products on top.

Khatabook partners with banks and NBFCs to offer business loans, monetising through referral and success fees. OkCredit works with RBI-registered NBFCs including Vivriti Capital and Apollo Finvest. [Source: OkCredit app, Khatabook product page]

The distribution logic is clean and the economics support it. A traditional NBFC lending to kiranas in Tier 3 cities faces sourcing costs of Rs 3,000-5,000 per lead through direct channels, thin documentation and higher delinquency due to weak underwriting. Khatabook or OkCredit offers a pre-qualified merchant six months of transaction history and built-in trust on the platform, bringing that sourcing cost down to almost zero. The platform makes a fee, the merchant gets credit and the NBFC gets a verified borrower it could not have reached economically on its own. The competitive advantage is not superior lending capability,it is the existing platform, user base, and ecosystem that competitors would have to build from scratch.

BharatPe's approach is similar but more integrated; it links merchant QR/POS payment flows directly to merchant cash advance products, using payment data as underwriting input and equated daily instalments (EDIs) for repayment. The payment-to-lending loop is self-reinforcing: credit-using merchants have higher retention on the payment product. [Source: BharatPe competitive analysis, 2026]

Embedded Insurance in Consumer Journeys

ACKO is the most documented example of embedded insurance distribution in India. It has built its model around partnerships with high-traffic consumer platforms; Ola, Amazon, redBus, OYO, Zomato, Swiggy, Urban Company; offering context-specific insurance at the moment of transaction. Its Ola trip insurance product offered cover for accidents and missed flights embedded into ride booking. By 2019, over 20 million trip insurance policies had been sold through this arrangement.

Since then, ACKO has expanded to over 50 million customers and is present on over 50 digital platforms. Platform count is equally significant as customer count: each additional distribution partner introduces a new context in which insurance is a byproduct of another decision, rather than a product that the customer must actively seek. [Source: ACKO, Inc42, General Atlantic press release] A customer booking an Ola ride has already made a trust decision about the Ola platform. The insurance offer, embedded at checkout for often under Rs 10, is low friction and contextually relevant. ACKO underwrites and processes claims; Ola provides the distribution surface.

PolicyBazaar takes a different approach; functioning as a comparison and distribution platform across 50+ insurers, sitting upstream in the customer journey at the point of active insurance search. With over 86 million registered users, it has used organic traffic and brand presence to build a customer acquisition cost advantage over direct insurer channels. [Source: PolicyBazaar company data, 2026]

Co-Branded Credit: The Amazon Pay-ICICI Bank Model

The Amazon Pay ICICI Bank Credit Card has over 5 million cardholders. The figure in question represents the number of customers that ICICI Bank would have otherwise had to acquire one at a time through its own channels. The card's true value to the bank is the acquisition cost it eliminated, rather than the cashback. [Source: ICICI Bank, Business Standard, September 2025]

Amazon brings its Prime customer base, purchase behaviour data, an established trust relationship, and a daily commerce platform. ICICI Bank brings the banking licence, credit risk assessment, card infrastructure, and the balance sheet. The card's value proposition; 5% cashback for Prime members on Amazon transactions; keeps the customer spending on Amazon while giving ICICI Bank a credit card portfolio with predictable spending patterns.

The distribution dynamic is clear: ICICI Bank would spend considerably to acquire 5 million credit card customers through direct channels. Amazon could not offer its own credit card without a banking licence. The partnership resolves both constraints simultaneously, while aligning incentives around shared customer spending.

Wealth Products Distributed Through Investment Platforms

Groww began as a direct mutual fund distribution platform in 2017 with a deliberate focus on simplicity and mobile-first experience. It has since expanded into stocks, IPOs, ETFs, and a lending product developed in partnership with IDFC First Bank. As of late 2025, Groww is India's largest stock broker by active NSE customers. [Source: Groww, Contrary Research, 2025]

Groww's distribution model is built on democratising investment access; the platform is the product, and the AMCs and financial institutions whose products appear on Groww are the supply side. The contrast with Zerodha; which built its base among active traders before expanding into passive investing through Coin and its own AMC, illustrates that distribution reach and product depth are two distinct strategic choices. Platforms focused primarily on reach without differentiated product depth face margin compression.

Earned Wage Access and Payroll-Linked Finance

Platforms like Refyne, Jify, and KarmaLife offer earned wage access (EWA); the ability for employees to withdraw a portion of earned but unpaid salary before payday; through direct partnerships with employers and their HR or payroll systems. The employer-fintech integration provides the distribution channel: the fintech does not need to market to employees individually.

The distribution advantage is structural. EWA platforms have direct access to salary and attendance data, removing the need for traditional credit assessment. They also recover advances directly from the next salary credit, making the repayment mechanism built into the distribution architecture. This produces an underwriting model with low default rates and no collections overhead. [Source: Refyne, Jify product pages; ILO Earned Wage Access report 2025]

Partnership Model Summary

The table below compares the six archetypes across reach, product ownership, interface control, regulatory accountability, and data rights:

VISUAL 4 - Partnership model comparison: Six archetypes across key dimensions

Partnership type	Who provides reach?	Who owns the product?	Who controls the interface?	Regulatory Accountability	Where Data Sits?	Revenue Model for Fintech
Bank - Neobank (jupiter+Federal bank)	Neobank brand & digital marketing	Bank (savings account, credit)	Neobank (consumer app)	Regulated bank (DICGC, RBI)	Shared; Neobank has behavioural; Bank has KYC	SaaS fee + Card interchange
Platform-NBFC lending (BharatPE/Khatabook)	Commerce / SaaS platform	NBFC (loan) Fintech (tech + UW)	Platform (merchant app)	NBFC (RBI licensed)	Platform owns transaction data; NBFC uses for UW	Referral fee + service income
Embedded insurance (ACKO via Ola/Amazon)	Distribution platform (Ola, Amazon)	Insurer (ACKO) owns policy	Platform (checkout flow)	Insurer (IRDAI licensed)	Platform owns context; ACKO owns policy data	Commission + risk based premium
Co-branded credit (Amazon Pay-ICICI)	Platform (Amazon prime base)	Bank (ICICI) owns credit card	Contested: Amazon at purchase;ICICI post-issuance	Bank (RBI Licensed)	Shared: Amazon has spend data; bank has credit data	Interchange + distribution fee
Earned wage access (Refyne/jify)	Employer (HR platform)	Fintech/NBFC (wage advance)	Employer (payroll portal)	NBFC partner (if credit product)	Employer owns attendance + salary; Fintech uses for UW	Transaction fee per advance
Wealthtech distribution (AMC+Groww)	Groww (investment platform)	AMC (mutual fund) or broker (stock)	Groww (investment UX)	SEBI;Groww as registered broker/MFD	Groww owns portfolio & behaviour; AMC has fund data	Trail commission + brokerage income

Figure 4: Partnership Model Comparison — six archetypes across key structural dimensions. Accountability, data rights, and revenue shares vary by contract terms and regulatory guidelines. Source: Author's analysis.

Why Fintech Partnerships Are Becoming a Distribution Game

The examples above point to a consistent underlying logic. This section draws out the seven structural reasons why distribution has become the primary competitive variable.

Customer Access Is Harder to Build Than Products

A fintech can typically build a loan product or insurance policy wrapper in months, with the right NBFC or insurer partnership and a competent technology team. The product; the underwriting algorithm, the onboarding flow, the repayment tracker; can be assembled from building blocks that are increasingly commoditised.

There are three economic forces that make this difficulty worse.

- Switching costs: For example, merchants that have credit histories tied to payment platforms or workers taking wage advances through employer portals experience friction resulting from data migration and re-onboarding and loss of accumulated standing. This stickiness cannot be overcome by product parity (Shapiro & Varian, 1999).
- Network effects: The more merchants and consumers join, the more valuable platforms like UPI become, strengthening distribution partnerships over standalone fintechs (Katz & Shapiro, 1985; Rochet & Tirole, 2003).
- Economics of distribution: Attaching a financial product to an existing customer relationship costs far less than acquiring a new customer. For example, a platform that already processes a merchant’s daily settlements can offer a credit product with little incremental cost.

Building a base of 50 million trusting customers takes years; building a network of 40 million merchants takes sustained field investment. These figures are fixed costs that, once paid by one player, become a barrier that all rivals must also overcome. For this very reason, distribution access is transferred through partnerships rather than being rebuilt from the ground up.

When products are easy to copy but customer proximity is hard to replicate , the scarce resource is access. The fintech with the better product may find its product copied. The entity with the better distribution rarely finds its distribution copied.

Partnerships Reduce Customer Acquisition Cost

The economics of direct customer acquisition in Indian fintech have become increasingly difficult. Customer acquisition cost through digital performance marketing for credit and insurance has risen substantially as competition for keywords, ad inventory, and influencer attention has intensified.

Partner-led distribution changes the cost structure. When a fintech enters a partnership with an established platform, it acquires customers at the cost of the distribution arrangement; typically, a revenue share or referral fee; rather than the full cost of paid marketing, brand building, and conversion funnel optimisation.

This matters for unit economics in financial services, where long-term profitability depends on how much was spent to acquire each customer. A lending customer acquired through a partner's payroll platform, with pre-verified employment data and a lower delinquency rate, can generate far better risk-adjusted returns than one acquired through a direct marketing campaign with limited documentation.

Fi Money's experience illustrates the cost problem. At its peak it spent Rs 132 crore on marketing in FY23 while struggling to monetise users through credit products. The cost of building distribution

through paid marketing, without a structurally cheaper channel, pressured its economics and contributed to the eventual B2B pivot. [Source: Inc42, Harro 2026]

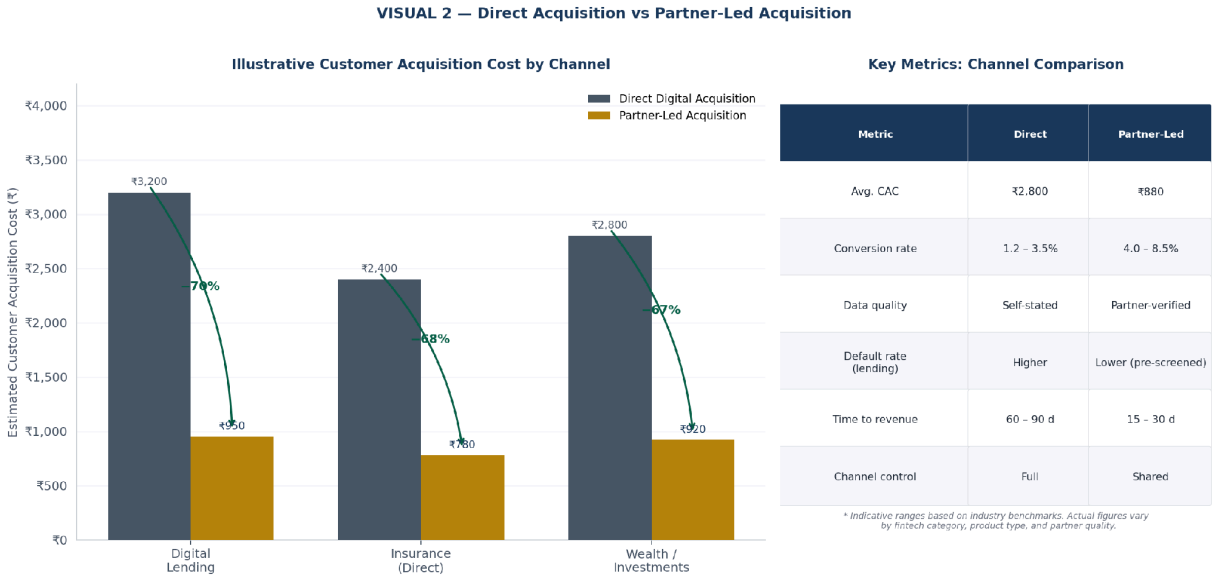


Figure 2: Illustrative comparison of direct digital acquisition vs partner-led acquisition across key fintech categories. Figures are indicative ranges based on industry benchmarks; actual costs vary by product, channel quality, and credit segment. Source: Author's analysis.

Trust Is Borrowed from the Partner

Financial services operate in a high-trust category. Customers are being asked to share income data, pay insurance premiums, or take loans from entities whose creditworthiness they cannot fully assess. Trust is earned slowly and lost quickly.

In this environment, there is a real barrier of trust for a new fintech brand asking customers to sign up for a credit product. The credibility of the platform the customer is already using is transferred to a financial product embedded within it by association. This mechanism is well known in the economics of information: when the quality of the product cannot be verified in advance, buyers substitute observable signals – reputation, institutional affiliation, familiarity ; for direct assessment of quality [Source: Akerlof, 1970; Spence, 1973].

In financial services, where trust is difficult to assess upfront, the distribution partner's brand becomes a key trust signal; allowing fintechs to borrow credibility rather than build it from scratch.

For categories like insurance, wealth management, and savings, where the customer's uncertainty is high and the decision is emotional, borrowed trust can be the difference between conversion and abandonment.

Finance Is Moving into Daily Workflows

The most durable distribution advantage is not placement in a financial app, but placement inside a non-financial workflow the customer uses every day.

Paying for a ride, booking a flight, running a small business's receivables, processing payroll, ordering food; none of these are financial activities by primary intent. But each creates a natural moment to offer a relevant financial product. Trip insurance at checkout. Working capital credit for a merchant who just had a high-revenue week. Salary advance for an employee whose paycheck is three days away.

Embedded finance; the integration of financial products into non-financial platforms; is the structural expression of this logic. India’s embedded finance market has grown at a 17.8% CAGR since 2021. A compounding rate of double digits over a five-year period indicates that this is not a temporary product cycle; rather, it is a structural shift in the location of financial decision-making, which is still progressing.

[Source: ResearchAndMarkets Q4 2025]

This growth is not driven by financial products getting better; it is driven by financial products arriving in better places.

A fintech company competing in a standalone app against other financial apps is fighting for attention in a crowded category. A fintech embedded in a commerce checkout, a payroll workflow, or a merchant dashboard is competing where no other financial product is present.

The Customer Interface Is the Control Point

Section 3 established that interface control determines what customers see and choose. The strategic consequence is sharper than it first appears: the platform or bank holding that interface can treat fintech as a replaceable product supplier. A fintech that protects no portion of the customer relationship is not building a business - it is building a dependency.

PhonePe's failure to convert its payment user base into stock-broking customers at scale; under 0.2% conversion on Share.Market ; illustrates that even interface ownership does not guarantee product adoption if the product is undifferentiated or the transition from payments to wealth requires a step-change in engagement. Interface control is necessary but not sufficient.

[Source: PhonePe DRHP analysis, 2026]

The ACKO-Ola model illustrates a different risk: when the insurer makes the purchase effectively invisible; a checkbox in the ride booking flow; volume grows but the customer may not understand what product they purchased, or from whom. Interface control without customer education creates its own problems.

Data Improves Targeting and Risk Assessment

India's Account Aggregator (AA) framework, live since September 2021 and operating across 17 licensed NBFC-AAs, has created regulated infrastructure for consent-based financial data sharing. As of March 2026, over 2.88 billion financial accounts are enabled for data sharing on the AA framework. The operative word is “enabled” not “active”: the infrastructure for consent-based underwriting now exists at a national scale, but its real value is contingent on customers who know what they are consenting to a gap this paper returns to below. The underlying economic logic is well established: credit markets misprice risk and ration credit precisely where lenders lack reliable information about borrowers (Stiglitz & Weiss, 1981), and fintech's core contribution to financial inclusion has been narrowing that information gap through alternative data (Philippon, 2019).

[Source: Ministry of Finance, April 2026; Sahamati]

This changes what partner data can do for fintech products. Lenders using AA-linked bank statement data can underwrite MSMEs and thin-file consumers who previously had no credit history. Wealth platforms can offer personalised advice based on a holistic view of a customer's financial position. Insurance underwriters can price risk more accurately using income and spending data shared with explicit customer consent.

Partners who share data; employers with payroll data, platforms with transaction data, banks with account history; become more valuable as distribution partners precisely because their data enriches

the financial product. Better data leads to better products, which leads to better customer outcomes, which increases partner retention and data sharing.

However, data access creates responsibility. The RBI's Digital Lending Directions (2025) are explicit: borrower data must be collected only with explicit consent; only specific data fields relevant to underwriting may be collected; digital lending apps cannot access phone contacts, call logs, or media files. The AA framework makes the consumer the data controller; they grant, manage, and revoke consent. But it requires financial literacy that does not yet exist uniformly across India's population. [Source: RBI Digital Lending Directions 2025]

Regulation Makes Partnerships Useful but Demanding

India's regulatory environment for fintech is actively evolving, making partnerships both more important and more structured.

On the positive side, the RBI's co-lending framework (2020) enables banks and NBFCs to combine balance sheets and networks to extend credit to priority sectors. The DLG (Default Loss Guarantee) framework (June 2023) formalised the FLDG mechanism that underpins many fintech-NBFC lending partnerships, capping the DLG at 5% of outstanding loan portfolio to prevent uncontrolled risk transfer. [Source: RBI DLG circular 2023]

The RBI's Digital Lending Directions (May 2025) are the most comprehensive regulatory statement to date. They consolidate earlier guidelines, establish due diligence requirements for Lending Service Providers (LSPs), mandate Key Fact Statements at loan issuance, require DLA registration on the RBI's CIMS portal, and establish clear grievance redressal rules across the entire partnership chain. [Source: Legal 500, ELP Law, RBI 2025]

The SRO-FT (Self-Regulatory Organisation for Fintechs) framework, finalised May 2024, creates an industry-led body responsible for compliance standards and consumer protection coordination. [Source: RBI SRO-FT framework 2024]

For fintechs, this regulatory environment does two things simultaneously. First, it makes a licensed regulated entity an indispensable partner; you cannot offer credit to Indian consumers at scale without one. Second, it places clear accountability on every participant. The RE cannot outsource risk judgment; the LSP cannot hide behind the RE's name; the platform cannot claim ignorance of what is being sold to customers.

A critical global reference is the collapse of Synapse Financial Technologies in the US in April 2024. When Synapse filed for bankruptcy, approximately US$85-95 million in customer funds could not be accurately reconciled, leaving over 200,000 accounts frozen. The case illustrates what happens when the intermediary layer in a bank-fintech partnership lacks adequate governance and accountability structures. [Source: Fortune, CFPB, Banking Dive 2024-2025] India's framework, by requiring regulated entities to remain responsible for all lending, data, and customer communication regardless of outsourcing depth, is more protective; but requires genuine compliance discipline from both sides.

Counterargument: Why Distribution Alone Is Not Enough

The distribution argument is compelling, but it is not unlimited. A serious analysis must acknowledge the conditions under which distribution-led fintech partnerships fail, produce poor outcomes, or create risks that eventually undermine the model.

Product Quality Still Determines Long-Term Outcomes

Distribution can bring customers to a financial product. It cannot make a poor product succeed over time. A loan disbursed through a high-quality partner channel still requires sound underwriting to remain profitable. An insurance policy sold through a trusted platform still needs to pay claims efficiently to retain policyholder trust. The history of Indian fintech includes examples of companies that used partner channels to grow fast and then encountered underwriting problems at scale.

Invisible Back-End Risk

A fintech that depends entirely on partner channels and retains no meaningful presence in the customer experience is building a supplier business, not a customer business. If the partner decides to change providers, build the product in-house, or renegotiate terms, the fintech has no floor under its revenue and no customer base to fall back on. This 'invisible vendor' risk is particularly acute in banking-as-a-service and embedded lending models.

Margin Compression Under Revenue Sharing

Partner-led distribution requires revenue sharing, and the revenue split moves against the fintech as the partner’s leverage increases. BharatPe’s trajectory is an example of the other side of the coin: after creating merchant distribution via its own QR network, it brought lending in-house instead of being a referral channel for partner NBFCs, capturing the economics that a pure lending partner would have earned. This logic applies to any large platform that recognises the value of the access it controls. As competition for distribution intensifies, fintech's economics per customer can deteriorate even as volume grows. A partnership that appeared profitable at the time of its signing may be renegotiated into marginality at the time of its renewal.

Data Ownership Disputes

Customer data generated through a partnership sits in an ambiguous position. The platform may claim ownership based on the customer relationship. The fintech may claim it based on the financial behaviour it generated. The regulated entity may assert priority based on prudential obligations. As data becomes more valuable, disputes about who controls it and how it can be used at the end of a partnership will become more common.

Mis-Selling Risk in Embedded Journeys

When financial products are embedded in commercial journeys; at checkout, in a ride booking, in employer onboarding; the customer's attention is typically focused on a primary task. The financial product is secondary. This creates conditions for mis-selling: the customer may accept a product they do not fully understand because the friction of refusing is higher than the friction of accepting. The RBI's focus on Key Fact Statements and explicit consent addresses the problem at the disclosure stage, but does not fully resolve the behavioural reality.

Concentration Risk

If a large proportion of fintech credit or insurance distribution is through a small number of platforms, the system is subject to concentration risk. The cases presented in this paper illustrate the exposure directly. ACKO's model depends on continued access to Ola, Amazon and a few other high traffic platforms. One change in any one relationship removes a material share of policy volume. Jupiter has a single banking partner for its entire consumer proposition. Merchant lenders transacting through Khatabook or BharatPe only connect with borrowers as long as the platforms want to be intermediaries.

Each arrangement is rational in itself. Combined, they concentrate access to millions of borrowers and policyholders in the commercial decisions of a handful of platforms - a systemic exposure, not just a business risk for any given fintech.

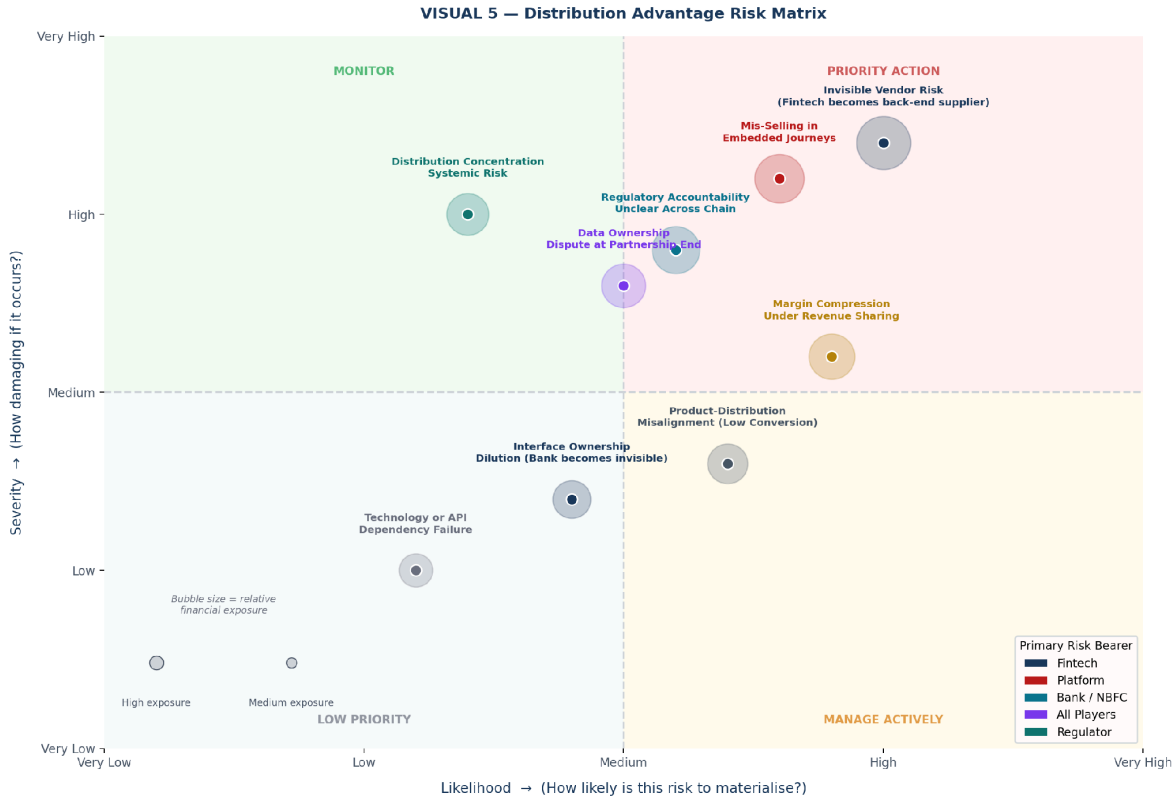


Figure 5: Distribution Advantage Risk Matrix — key risks mapped by likelihood and severity, with bubble size indicating relative financial exposure. Colour denotes the primary risk bearer. Source: Author's analysis.

Despite these risks, distribution remains central. The counterargument is not that distribution does not matter; it is that distribution without product depth, risk discipline, and regulatory compliance creates fragile businesses. The companies that will last are those that use distribution to reach customers efficiently and then build strong enough products, data capabilities, and customer relationships to retain them.

Strategic Implications

The shift from product to distribution has different implications for each participant. What follows is a summary of the most important considerations for each player type.

For Fintechs

- Choose distribution channels where the customer need is frequent and the product is contextually relevant. A weak product-moment fit will produce poor conversion even through the highest-traffic channel.
- Protect product differentiation within partnerships. Being the best underwriter, the fastest claims processor, or the most accurate risk model prevents commoditisation once distribution access is secured.
- Avoid full invisibility in the customer journey. Where possible, retain the right to communicate with the customer directly; for service, for cross-sell, for complaint resolution; even within a partner-owned interface.
- Measure and manage partner-wise unit economics carefully. Volume through a partner channel is not inherently profitable if the revenue share, credit loss, and servicing cost combine to destroy margin.
- Manage channel concentration risk proactively. Dependence on a single large platform partner creates existential risk if the relationship changes. Maintain at least two meaningful distribution paths.
- Build capabilities beyond API integration. Technical connectivity is easily replicated. Data science, collections management, and product design depth are harder to replace and become the fintech's residual advantage.

For Banks and NBFCs

- Use fintech partnerships to extend reach into segments where the bank's own distribution is expensive or absent; rural lending, thin-file credit, gig economy workers, Tier 3 merchants.
- Retain control over risk assessment. The RBI is explicit: regulated entities cannot outsource credit judgement. Banks that delegate underwriting standards to fintech partners in pursuit of growth will face asset quality consequences.
- Avoid becoming a pure balance sheet provider. If the bank's only role is to fund loans that a fintech acquires, underwrites, and services, the bank is taking risk without building a customer relationship or proprietary advantage.
- Invest in partner governance infrastructure. Monitoring LSP conduct, tracking complaint rates by partner, and auditing data handling are all regulatory requirements under the 2025 Digital Lending Directions; this is compliance overhead that must be built.

For Digital Platforms

- Embed financial products only where they solve a genuine customer problem in the context of the platform's primary service. Finance added purely as a monetisation layer typically produces poor conversion, high complaint rates, and regulatory scrutiny.
- Make disclosures clear, in plain language, at the point of product offer. Customers in embedded journeys need to understand what they are buying, from whom, at what cost, and how to complain if something goes wrong.

- Build genuine grievance and escalation mechanisms. A customer who cannot reach the regulated entity when a claim is denied or a loan is disputed will blame the platform, regardless of who holds the regulatory obligation.
- Model the customer trust cost, not just the conversion revenue. A financial product that generates complaints or media attention around mis-selling can cost far more in customer trust than it generates in monetisation income.

For Customers

For most Indian consumers, the distribution shift means financial products are becoming easier to find, arriving without being searched for, and increasingly embedded in non-financial contexts. This is genuinely positive; it reduces friction, improves access, and brings products to customers who would previously have been excluded.

The risk customers face is that the layered nature of fintech partnerships can obscure accountability. If an insurance claim is denied, who is responsible; the insurer, the platform, or the LSP? The RBI's grievance escalation structure provides a mechanism, but customers must know it exists and how to use it.

For Regulators

- Establish regulatory sandboxes with time limits for new partnership models like AA-enabled co-lending, employer embedded micro-insurance, AI assisted underwriting in partner ecosystems. A sandbox route allows them to be built within the regulated perimeter, with data on results under supervision, rather than outside.
- Channelled innovation provides better evidence for future rulemaking than innovation that is blocked or driven offshore.
- Enabling responsible innovation without regulatory arbitrage. A step in this direction is the SRO-FT framework, which self-regulation with RBI oversight, as opposed to complete flexibility or prescriptive control.

Recommendations

The recommendations below are practical and sequenced by the primary risk each address.

For Fintechs

Recommendation	Why It Matters	Risk Reduced	Opportunity Created
Build partnerships where customer need is frequent and contextually clear	Product-moment fit determines conversion; misaligned partnerships generate volume without revenue	Margin destruction from low-yield channels	Higher customer lifetime value per partnership
Protect data and customer communication rights contractually	Distribution agreements can waive fintech's right to reach its own customers	Channel lock-in and customer loss at partnership end	Residual customer base that survives partner transitions
Measure acquisition cost, credit loss, and profitability by partner	Aggregate metrics hide underperforming channels that look good on volume	Undetected margin erosion in specific channels	Informed partner selection and commercial negotiation
Avoid single-channel dependency; maintain at least two distribution paths	Partner strategy changes or commercial disputes can eliminate a channel overnight	Business continuity risk	Negotiation leverage with existing partners
Build product depth beyond API integration; underwriting quality, servicing, customer communication	Partners can replace API vendors; they cannot replace deep product capability easily	Commoditisation and partner internalisation of fintech function	Sustained pricing power within partnerships

For Banks and NBFCs

- Use fintech and platform partnerships primarily for reach and speed; not to replace risk assessment. The 2025 RBI Directions are explicit: the regulated entity remains accountable regardless of outsourcing depth.
- Define risk-sharing, accountability, and customer communication responsibilities in partnership agreements before products go live; not as a regulatory afterthought.
- Set partner performance standards: complaint rates per thousand customers, NPA rates from partner-sourced loans, and KFS compliance rates should all be tracked and tied to partnership continuation decisions.
- Avoid the 'balance sheet only' trap. A bank that provides funds and regulatory standing without customer access, data, or product insight is taking balance sheet risk for someone else's business. Long-term value in fintech partnerships goes to the party that builds a customer relationship.

For Platforms

- Embed finance only where the product is a genuine response to a real need in the context of the platform journey; not where it is an opportunistic add-on.
- Make the product source transparent. Customers should know whether they are dealing with the platform, a partner NBFC, or an insurer. The 2025 RBI Directions require RE identity to be clearly communicated; platforms should enforce this within their own UI.
- Build pre-launch processes for product review, complaint handling, and partner conduct monitoring. Do not assume the fintech or NBFC partner will handle these independently in a way that protects the platform's reputation.

For Regulators

- Operationalise the grievance chain under the 2025 Digital Lending Directions with clear escalation timelines and publicly reported complaint data by RE and by LSP type. Transparency improves accountability.
- Develop a clear standard for customer consent in embedded finance journeys, accounting for the reality that customers in non-financial workflows are not always in deliberate decision-making mode.
- Monitor platform concentration in fintech distribution. If a single platform intermediates a disproportionate share of fintech credit or insurance, supervisory engagement should reflect the systemic role that platform plays.
- Enable responsible innovation without regulatory arbitrage: Build on the SRO-FT framework of self-regulation with RBI oversight, complemented by time-bound sandboxes for emerging models such as AA-enabled co-lending, employer-embedded micro-insurance, and AI-assisted underwriting. This keeps frontier innovation within the regulated perimeter, generates supervised outcome data, and enables evidence-based future rulemaking rather than blocking innovation or pushing it offshore.

Conclusion

Fintech in India spent its first decade demonstrating that financial products could be built faster, cheaper, and more accessible than traditional institutions believed possible. That decade produced real change: millions of previously unbanked Indians entered the formal financial system, credit reached segments and geographies that bank branches never served, and insurance started moving from paper forms to mobile checkouts.

The next decade will be decided not by who builds the best product, but by who holds customer ownership at the point of need.

The evidence from UPI payment partnerships, bank-neobank structures, SME lending on merchant platforms, embedded insurance with consumer companies, co-branded credit cards, wealthtech platforms, and earned wage access arrangements points in a consistent direction. In every case, the partnership that has created the most durable commercial advantage is one where a capable fintech product is placed inside an existing, trusted, high-frequency customer relationship; not where a fintech has tried to build that relationship entirely from scratch.

Distribution in this context means access, trust, timing, frequency, data, interface control, lower acquisition cost, and cross-sell potential. These are structural positions that take time to build and are difficult to replicate once established.

The risks are real and must be managed. Fintechs risk becoming invisible product suppliers with no customer base of their own. Banks risk becoming passive balance sheets for fintech-led customer relationships. Platforms risk damaging customer trust by placing financial products in front of audiences that are not ready or willing to engage with them. The Synapse collapse in the United States in 2024 is a useful reminder that multi-party financial partnerships without robust governance and recordkeeping can fail in ways that harm ordinary customers.

India's regulatory architecture; the 2025 Digital Lending Directions, the SRO-FT structure, the AA consent framework, and the DLG cap; is more prescriptive than many other markets on these questions. That is an asset, not a constraint, for the sustainable development of a partnership-led financial services sector.

The conclusion remains. Fi Money spent Rs 132 crore building a brand and still couldn't make consumer credit work; ACKO reached 50 million customers by putting a Rs 10 policy inside someone else's checkout.

In two sentences, this paper argues that contrast. In Indian fintech, the advantage today is with the player with customer proximity at the moment of decision, not the player with the better product. Businesses recognising this and positioning themselves accordingly will strengthen their position. Those who persist in competing on features without addressing the economics of customer acquisition and retention will discover that each subsequent cohort is more expensive to acquire and yields less to serve.

Distribution is not a tactical decision. In fintech today, it is the strategic one.

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